An urban response to the Hsaya San rebellion emerged through a group known as the Dobama Asiayone (We Burmans Association). Ultimately the group referred to its members as Thakin or master. The rationale behind the name was that the growing number of Burmese insisted that the population must take on a master mentality and discard the slave mentality that resulted from colonialism.

The Thakins used the setting of Rangoon University to promote the cause of Burmese nationalism. As the global depression worsened and discontent over educational policy continued, the Thakins stock continued to rise. The Rangoon University Student Union was the main organization in which the group aired their grievances and provided a forum for nationalist aspirations. The initial leaders included Maung Nu and Aung San, both who would play central roles in the independence movement in Burma. Student strikes occurred in 1936 that ultimately spread beyond the confines of the university. Many of the student activities quickly became full-time political operatives.

Ideologically, the Thakins were leftist leaning, inspired by the Fabian socialists from Britain. Some of the key leaders also drew inspiration from Sun Yat Sen's Chinese nationalism, as well as Gandhi's independence movement and the Irish Sinn Fein. The Thakins were some of the first advocates for total independence from Britain. Unlike earlier nationalist movements centered on religion, the Thakin cause was more secular in orientation. Some within the movement wanted to draw on Buddhist concepts in combination with Marxism ideology.

It was apparent to the colonial authorities that the situation in Burma was tenuous at best. The British authorities announced the Simon Commission Report and the Burma Round Table Conference. The commission recommended that Burma should be separated from British India. The final legislation entitled the India Act of 1935 (also called the Government of Burma Act) officially separated the two entities and promulgated a new constitution for Burma.

A new government structure was established for Burma that included the governor remaining in charge of the executive along with a 10-member council of ministers. The legislative branch was expanded to two houses; a senate with 36 members and a house with 132 members.